Cummins Inc

Lowering Estimates & PT

Neutral

CMI, CMI US
Price (05 Nov 26):$448.58
▼ **Price Target (Dec-27):$465.00**
Prior (Dec-27):$600.00

After yesterday's revenue miss and guidance cut, expect 2027 consensus to move lower and bears to stay put; JPMe 2027/28 EPS $31.71/$37.67; Dec 27 PT $465. Per our preview, positioning heading into the CMI print skewed negative, and the 3Q print and guidance update were not enough to disengage the bears. CMI's 3Q sales missed consensus, but EPS and margins beat; the implied 4Q sales/margins/EPS guidance fell below consensus (see details below). Amid the AI sell-off, we didn't hear from any bulls post the print; bears argued that the pickup truck demand weakness cited by CMI could spread to other categories if diesel continues to be expensive (already happening in China). CMI spoke to exceptionally strong power generation demand tied to data centers with orders exceeding expectations in 3Q, but investors (bulls and bears alike) are bracing for orders to slow in the coming quarters, considering the changing political discourse in the US. Hence, CMI's planned capacity expansion from 25GW to 55GW by 2030 (2028 to see the YoY step up) will likely come with a valuation de-rating, especially considering a supermajority of 2030 revenues will come from backup generator sets. **We are lowering our estimates with FY27/28 EPS at $31.71 and $37.67, respectively. Our Dec 27 PT is $465, which assigns ~6x FY28 EV/EBITDA on CMI's DC-related EBITDA and ~9x FY28 EV/EBITDA on the rest of the business (which is the long-term average). We rate CMI Neutral.** Below are key takeaways from the conference call.

- **EPA uncertainty is affecting customer timing, while CMI expects most North American truck engine production to remain on legacy platforms in FY27.** CMI expects the EPA to issue its final rule in December, following the July draft and the close of the comment period at the end of August. The final rule is expected to include NOx requirements and nonconformance penalties (NCPs), although uncertainty remains around whether the penalty amounts will change from the draft. CMI is working with OEMs on product availability and transition plans and expects the vast majority of North American truck engine production in 2027 to remain on existing platforms. Limited production of the new X10 and X15 is expected to begin in January 2027, followed by a transition to full production in 3Q and 4Q, while the B-series moves to the new platform in early 2028. CMI plans to pass applicable NCP costs through to customers, resulting in a neutral impact on EBITDA dollars but dilution to reported margin percentages. CMI believes U.S. truck-market pre-buy activity has been limited and that the improvement in demand primarily reflects a cyclical recovery, supported by higher freight rates in 2H26 and improved fleet profitability. CMI expects North American truck production to be roughly flat in FY27 versus FY26, although regulatory uncertainty is delaying some customer orders. CMI expects the vast majority of FY27 truck engine production to remain on legacy platforms and intends to pass NCP-related costs through to customers.
- **Supply constraints and delayed installations explain part of the 3Q revenue shortfall, with most affected shipments expected to recover in 4Q.** CMI identified a 3Q issue with a Power Systems supplier that delayed engine production and subsequently affected Distribution installations. ~ $200MM of Distribution revenue expected in 3Q shifted into 4Q, with the

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E ($)	29.46	28.59	-3.0%
Adj. EPS - 27E ($)	33.89	31.71	-6.4%
Adj. EBITDA - 26E ($ mn)	6,899	6,714	-2.7%
Adj. EBITDA - 27E ($ mn)	7,698	7,235	-6.0%

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)	2025A	2026E	2027E
Q1	5.96	6.15A	7.07
Q2	6.43	6.73A	7.98
Q3	5.59	8.25A	8.59
Q4	5.81	7.46	8.08
FY	23.71	28.59	31.71

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	56	69	55	47	52
Growth	10	16	40	79	26
Momentum	60	21	23	69	79
Quality	21	20	19	15	16
Low Vol	25	22	18	14	14
ESGQ	34	49	49	66	29

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

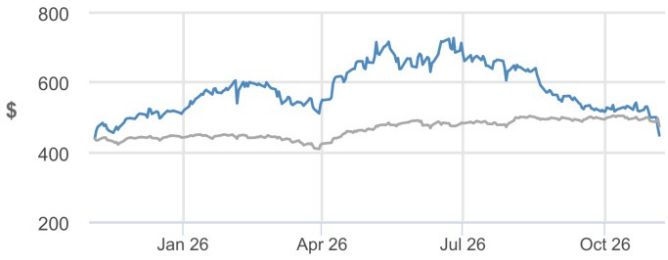
See page 11 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-12.1%	-14.3%	-31.0%	2.1%
Rel	-19.5%	-8.9%	-26.2%	-6.1%

Company Data

Shares O/S (mn)	139
52-week range ($)	737.76-427.50
Market cap ($ mn)	65,349.84
Exchange rate	1.00
Free float (%)	99.7%
3M ADV (mn)	1.12
3M ADV ($ mn)	612.9
Volatility (90 Day)	31
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	17|6|0

Key Metrics (FYE Dec)

$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	33,670	37,047	41,485	46,370
Adj. EBITDA	5,843	6,714	7,235	8,291
Adj. EBIT	4,483	5,190	4,901	5,537
Adj. net income	3,298	3,954	4,346	5,125
Adj. EPS	23.71	28.59	31.71	37.67
BBG EPS	22.88	29.11	34.31	40.08
Cashflow from operations	3,621	4,255	1,995	7,988
FCFF	2,558	2,994	1,139	6,923
Margins and Growth				
Revenue Growth Y/Y (%)	(1.3%)	10.0%	12.0%	11.8%
EBITDA margin	17.4%	18.1%	17.4%	17.9%
EBITDA Growth Y/Y (%)	8.8%	14.9%	7.8%	14.6%
EBIT margin	13.3%	14.0%	11.8%	11.9%
Net margin	9.8%	10.7%	10.5%	11.1%
Adj. EPS growth	13.5%	20.6%	10.9%	18.8%
Ratios				
Adj. tax rate	22.8%	22.9%	22.5%	22.5%
Interest cover	26.2	37.2	38.8	47.8
Net debt/Equity	0.3	0.2	0.3	NM
Net debt/EBITDA	0.7	0.5	0.6	(0.0)
ROCE	18.6%	19.5%	17.0%	17.2%
ROE	29.2%	30.4%	29.2%	29.0%
Valuation				
FCFF yield	3.9%	4.6%	1.8%	10.8%
Dividend yield	1.6%	1.9%	2.0%	2.1%
EV/Revenue	2.0	1.8	1.7	1.4
EV/EBITDA	11.7	10.1	9.5	7.7
Adj. P/E	19.9	16.5	14.9	12.5

Summary Investment Thesis and Valuation

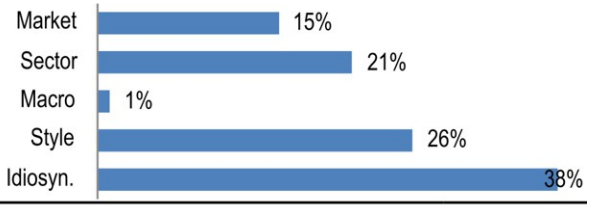
Investment Thesis

We rate CMI Neutral. CMI is positioning its business for a world that includes a transition away from internal combustion engines to alternative powertrains. Hence, in the near term the company is incurring losses in the Accelera business. However, we expect these headwinds to be balanced by strong growth in power generation projects tied to data center demand over the next several years, while we expect the Engine and Components segments' margins to improve in the next couple of years as R&D spending tapers. Overall, we view the risk-reward as balanced at these levels.

Valuation

Our Dec 27 PT is $465, which assigns ~6x FY28 EV/EBITDA on CMI's DC-related EBITDA and ~9x FY28 EV/EBITDA on the rest of the business (which is the long-term average).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.45	0.39
Sect: Industrials	0.55	0.49
Ind: Capital Goods	0.63	0.55
Macro:		
Non-Energy Commodity	-0.03	-0.12
Crude Oil	0.06	-0.11
Credit Spread	-0.02	0.07
Quant Styles:		
Momentum	0.74	0.56
DivYld	-0.68	-0.43
Size	0.61	0.40

P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or

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delayed large-engine deliveries and installations expected to be largely recovered during the quarter. The resulting implied 4Q Distribution revenue increase of ~23% sequentially reflects delayed project execution rather than a sudden acceleration in demand, and the full-year outlook for the segment remains largely unchanged. The remaining 3Q revenue shortfall was primarily market-driven, especially lower North American pickup truck demand. CMI believes this year's X15 production is largely sold out and is managing supply challenges, particularly components and axles, to support customer deliveries through year-end and into 2027. Supply remains tight in Power Systems and certain on-highway markets, making additional supply and capacity investment alongside suppliers a priority beyond 4Q.

- **Global data center demand supports Power Systems and Distribution growth, while capacity additions and product development will shape the pace of expansion.** CMI's 3Q order intake exceeded expectations, with orders for larger engine gensets extending into 2H28. Customers are also seeking smaller configurations when larger gensets are unavailable. Multiyear planning discussions remain strong, and some hyperscaler commitments extend beyond the firm order backlog. Demand is strong in the U.S., China, and Asia Pacific, with China and Southeast Asia among the fastest-growing areas. Data center orders are now roughly balanced between domestic and international markets, while international demand has accelerated from a smaller base. CMI sees strong margins in both domestic and international markets, with application mix more important than geography. Data center projects typically generate higher EBITDA dollars given additional Distribution installation work. For gensets using engines produced through the China JV, CMI shares in the engine economics, while Distribution work performed through its own network provides an additional earnings contribution. Capacity investments remain on track, with an initial increase expected in 2027 and the larger step-up primarily in 2028. The added capacity can support backup power and prime-power applications. Development of the 130L natural gas engine is progressing, with pilot products expected in 2028 and more meaningful revenue beginning in 2029. CMI has announced multiyear agreements and applications for existing natural gas products, primarily its 78L engine, but is not yet taking specific orders for the 130L platform. Current discussions focus on customer interest, pilot opportunities, and building confidence in the product. CMI remains on track with its 2030 Power Systems commitments.
- **New power solutions extend CMI's offering, but CMI does not view them as a change to its broader outlook.** CMI described stationary battery energy storage systems (BESS) as an early-stage opportunity, with increasing customer interest in solutions that bridge grid availability constraints and improve reliability, particularly in the U.S. The cells for these systems are sourced separately from the Amplify JV, which is developing cells for on-highway commercial vehicle applications. CMI views the BESS project as an expansion of its participation in flexible-power solutions rather than a primary driver of Power Systems guidance or a fundamental change to the longer-term outlook. The project will use existing products, with deliveries coordinated around customer installation schedules. CMI expects Power Systems and Distribution revenue to exceed this year's levels in 2027 based on current demand, with continued earnings growth over time. The implied 4Q Power Systems margin of ~22.5% is not a forward run rate. Temporary supply chain costs, capacity investments, new-product development, and fewer production days are expected to weigh on 4Q margin, but CMI sees no structural deterioration in the segment's profitability trajectory. CMI reiterated confidence in its longer-term margin targets, although quarterly profitability may vary with investment and capacity timing.
- **Volume and operational execution drove margin improvement, while rising costs remain a modest headwind.** CMI said 3Q did not include any significant unusual items that would explain the strong margin performance. Variable compensation expense is

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updated each quarter and increased YoY given expectations for record FY26 earnings, although the quarterly true-up resulted in a sequential decline in the expense. Higher volumes and improved operating execution were the primary drivers of profitability. CMI is seeing creeping cost increases, including higher freight, supply bottlenecks, areas of conflict, and shortages. Pricing is positive overall, but the combined impact of price, costs, and tariffs was slightly negative and was not a meaningful contributor to gross margin improvement. Price/cost is currently a modest 2H26 headwind. CMI expects Power Systems and Distribution to be more continuous growth drivers, while Engine and Components face additional complexities associated with the EPA27 product transition. CMI remains confident in progress toward its 2030 targets and expects to exit FY26 with a strong underlying margin base. The company's longer-term incremental margin target remains intact, with FY27 guidance expected at the 4Q26 earnings call in February.

- **3Q26 recap and FY26 guidance.** CMI posted 3Q adjusted EPS of $8.25 vs. consensus $8.17. Net sales were up 13% YoY to $9.44B vs. consensus $9.87B. 3Q adjusted EBITDA increased 25% YoY to $1.786B (18.9% margin, up ~180bps YoY) vs. consensus $1.854B (18.8% margin); incremental margin was ~32%. Management lowered its 2026 guidance. Consolidated revenue is now expected to be up ~10% to ~$37.04B at the mp (vs. prior up 10-13% to mp ~$37.5B and consensus $37.7B). Adj. EBITDA margin guidance is roughly unchanged at the mp, now expected at ~18.2% (vs. prior 18.0-18.5% and consensus 18.1%) for EBITDA of ~$6.74B at the mp (vs. prior mp ~$6.85B and consensus $6.80B). The 3Q print and FY26 guide imply 4Q26 revenue up ~14.2% YoY to ~$9.7B (vs. consensus $10.0B), adj. EBITDA of ~$1.81B at margin up ~260bps YoY to ~18.6% (vs. consensus $1.89B at 18.8% margin) and incremental margin of ~37%. 4Q implied EPS is $7.38 vs. consensus $8.49.

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Figure 1: CMI 3Q26 Earnings Variance

Cummins Inc. - Segments ($ in millions, except per share items)	3Q:26 Actual	3Q:26 JPMe	3Q:26 Consensus	Actual YoY	Actual QoQ	Actual vs. JPMe	Actual vs. Consensus
Sales By Segment							
Engine	3,130	3,269		20%	1%	-4%	
Distribution	3,310	3,648		4%	0%	-9%	
Components	2,856	2,911		23%	-1%	-2%	
Power Systems	2,289	2,395		15%	2%	-4%	
Accelera (New Power)	103	67		-15%	-29%	55%	
Eliminations	(2,250)	(2,291)		18%	0%	-2%	
Net Sales	**9,438**	**9,998**	**9,868**	**13%**	**0%**	**-6%**	**-4%**
Adj. EBITDA By Segment							
Engine	422	474		62%	9%	-11%	
Distribution	461	502		-6%	2%	-8%	
Components	408	431		40%	7%	-5%	
Power Systems	582	587		27%	5%	-1%	
Accelera (New Power)	(56)	(59)		-42%	-19%	-5%	
Eliminations	(31)	(48)		-248%	-35%	-35%	
Adj. EBITDA	**1,786**	**1,886**	**1,854**	**25%**	**8%**	**-5%**	**-4%**
Adj. EBITDA Margin By Segment							
Engine	13.5%	14.5%		*3.5%*	*1.0%*	*-1.0%*	
Distribution	13.9%	13.8%		*-1.6%*	*0.4%*	*0.2%*	
Components	14.3%	14.8%		*1.7%*	*1.1%*	*-0.5%*	
Power Systems	25.4%	24.5%		*2.5%*	*0.9%*	*0.9%*	
Adj. EBITDA Margin	**18.9%**	**18.9%**	**18.8%**	***1.8%***	***1.4%***	***0.1%***	***0.1%***
In/Decremental EBITDA Margin	*32%*	*27%*					
Consolidated Income Statement							
Net Sales	**9,438**	**9,998**	**9,868**	**13%**	**0%**	**-6%**	**-4%**
Cost of products and services sold	6,823	7,399		10%	-2%	-8%	
Gross Profit	**2,615**	**2,600**	**2,712**	**23%**	**6%**	**1%**	**-4%**
Gross Margin	*27.7%*	*26.0%*	*27.5%*	*2.1%*	*1.6%*	*1.7%*	*0.2%*
SG&A expense	868	1,000	895	10%	-3%	-13%	-3%
% of Sales	*9.2%*	*10.0%*	*9.1%*				
Research, development, and engineering exp.	400	407	400	16%	4%	-2%	0%
% of Sales	*4.2%*	*4.1%*	*4.1%*				
Equity, royalty and interest income from investees	127	141		22%	-18%	-10%	
YoY Growth	*22.1%*	*20.0%*					
Other (expense) income, net	(30)	(62)		329%	-52%	-52%	
Operating Income	**1,444**	**1,272**	**1,520**	**32%**	**13%**	**14%**	**-5%**
Operating Margin	*15.3%*	*12.7%*	*15.4%*	*2.2%*	*1.8%*	*2.6%*	*-0.1%*
In/Decremental Operating Margin	*31%*	*11%*					
Interest income (included in segment EBIT)	30	23		0%	-9%	30%	
Interest expense	81	79		-2%	1%	2%	
Other income (incl. in segment EBIT)	27	313		-13%	-56%	-91%	
Income Before Taxes and NCI	**1,420**	**1,528**		**33%**	**10%**	**-7%**	
Income Tax Expense (Benefit)	251	336		-7%	-23%	-25%	
Effective Tax Rate	*17.7%*	*22.0%*	*22.8%*				
Minority interest in income of consolidated subs	29	31		26%	-19%	-7%	
Adj. Net Income	**1,140**	**1,161**	**1,129**	**47%**	**22%**	**-2%**	**1%**
Non-recurring Items	-	-		NM	NM	NM	
Reported Net Income	1,140	1,161		113%	22%	-2%	
Adj. EPS	**$8.25**	**$8.33**	**$8.17**	**48%**	**23%**	**-1%**	**1%**
Non-recurring items	$0.00	$0.00		-100%	NM	NM	
Reported EPS	$8.25	$8.33		114%	23%	-1%	
Adj. EPS YoY growth	*47.7%*	*49.1%*					
Average Shares Outstanding (fully diluted)	*138.1*	*139.3*	*138.1*	*-1%*	*0%*	*-1%*	*0%*
Working Capital							
Days sales outstanding (DSO)	64.2	63.5		4%	1%	1%	
Days per inventory turn (DOH)	91.1	83.5		-1%	9%	9%	
Days payables outstanding (DPO)	65.3	60.7		16%	7%	7%	

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates

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Figure 2: CMI 2026 Outlook

Guidance for 2026 Consolidated Results						
	Feb'26	May'26	Aug'26	Nov'26	Prior Consensus	Current JPMe
Consolidated Revenue	**~$35.5B**	**~$36.9B**	**~$37.5B**	**~$37.0B**	**$37.7B**	**$37.0B**
Revenue growth	**Up 3-8%**	**Up 8-11%**	**Up 10-13%**	**Up ~10%**		**10.0%**
Earnings from JVs	Down 5% to Up 15%	Up 10-20%	Up 15-25%	Up 15-20%		17%
EBITDA Margin %	**17.0-18.0%**	**17.75-18.50%**	**18.0-18.5%**	**~18.2%**	**18.1%**	**18.1%**
EBITDA	**~$6,216MM**	**~$6,682MM**	**~$6,851MM**	**~$6,741MM**	**$6,804MM**	**$6,714MM**
Depreciation & Amortization	$1.1-1.2B	$1.1-1.2B	$1.1-1.2B	$1.1-1.2B		$1,114MM
Effective Tax Rate	~24.0%	~23.0%	~23.0%	~23.0%		23%
Capital Expenditures	$1.35-1.45B	$1.35-1.45B	$1.35-1.45B	$1.35-1.45B		$1,400MM
Interest Expense	~$350MM	~$315MM	~$315MM	~$315MM		$315MM
Global Pension Funding	~$51MM	~$47MM	~$47MM	~$47MM		n/a
Implied EPS	**~$25.10**	**~$28.20**	**~$29.10**	**~$28.50**	**$29.11**	**$28.59**

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates

Figure 3: CMI Segment Guidance

Guidance for 2026 Segment Results					
	Feb'26	May'26	Aug'26	Nov'26	JPMe
Revenue Growth					
Engine	Flat to Up 5%	Up 7-12%	Up 9-14%	Up 8-11%	9.5%
Distribution	Up 5-10%	Up 9-14%	Up 9-14%	Up 10-13%	10.9%
Components	Flat to Up 5%	Up 5-10%	Up 8-13%	Up 8-11%	9.0%
Power Systems	Up 12-17%	Up 14-19%	Up 14-19%	Up 15-18%	16.6%
Accelera (New Power)	$300-350MM	$300-350MM	$350-400MM	$350-400MM	$375MM
Adj. EBITDA Margin					
Engine	12.0-13.0%	12.5-13.5%	12.50-13.25%	12.25-12.75%	12.5%
Distribution	13.25-14.25%	13.7-14.7%	13.50-14.25%	13.60-14.10%	13.9%
Components	13.0-14.0%	13.5-14.5%	13.50-14.25%	13.25-13.75%	13.5%
Power Systems	23.0-24.0%	25.0-26.0%	25.00-25.75%	25.10-25.60%	25.4%
Accelera (New Power)	($355-325MM)	($300-270MM)	($290-260MM)	($290-260MM)	($268MM)

Source: Company reports, J.P. Morgan

Figure 4: CMI Market Outlook

2026 Market Outlook				
	Feb'26	May'26	Aug'26	Nov'26
Outlook				
NAFTA HD Truck production	220-240K units	230-250K units	240-250K units	240-250K units
NAFTA MD Truck production	110-120K units	125-135K units	130-140K units	125-130K units
China MD & HD Truck sales	1,130-1,260K units	1,130-1,260K units	1,195-1,320K units	1,195-1,320K units
India MD & HD Truck sales	405-450K units	430-495K units	430-495K units	430-475K units
YoY Change				
NAFTA HD Truck production	Flat to Up 10%	Up 5-15%	Up 10-15%	Up 10-15%
NAFTA MD Truck production	Flat to Up 10%	Up 15-25%	Up 20-30%	Up 15-20%
China MD & HD Truck sales	Down 10% to Flat	Down 10% to Flat	Down 5% to Up 5%	Down 5% to Up 5%
India MD & HD Truck sales	Down 10% to Flat	Down 5% to Up 5%	Down 5% to Up 5%	Down 5% to Up 5%

Source: Company reports, J.P. Morgan

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Figure 5: CMI Revenue Outlook

2026 CMI Revenue Outlook				
	Feb'26	May'26	Aug'26	Nov'26
Outlook				
Mining	Flat to Up 10%	Flat to Up 10%	Down 5% to Up 5%	Down 5% to Up 5%
Total Construction	Down 5% to Up 5%	Flat to Up 10%	Up 10-20%	Up 10-20%
Power Generation	Up 10-20%	Up 15-25%	Up 15-25%	Up 15-25%
Parts	Up 2-8%	Up 2-8%	Up 3-8%	Up 3-8%

Source: Company reports, J.P. Morgan

Figure 6: 4Q Implied Guidance By Segment

Revenue	4Q implied	Consensus	JPMe
Engine	$3,022	$3,554	$3,021
Distribution	$4,080	$3,752	$4,008
Components	$2,836	$2,988	$2,787
Power Systems	$2,194	$2,259	$2,199
Accelera (New Power)	$26	$68	$26
Enterprise	**$9,744**	**$10,036**	**$9,754**
EBITDA	**4Q implied**	**Consensus**	**JPMe**
Engine	$402	$513	$405
Distribution	$560	$526	$553
Components	$374	$440	$368
Power Systems	493	$545	$495
Accelera (New Power)	($72)	($69)	($65)
Enterprise	**$1,813**	**$1,886**	**$1,786**
EBITDA Margin	**4Q implied**	**Consensus**	**JPMe**
Engine	13.3%	14.4%	13.4%
Distribution	13.7%	14.0%	13.8%
Components	13.2%	14.7%	13.2%
Power Systems	22.5%	24.1%	22.5%
Accelera (New Power)	-276.9%	-100.9%	-248.1%
Enterprise	**18.6%**	**18.8%**	**18.3%**

Source: Company reports, J.P. Morgan estimates, Bloomberg Finance L.P.

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Investment Thesis, Valuation and Risks

Cummins Inc *(Neutral; Price Target: $465.00)*

Investment Thesis

We rate CMI Neutral. CMI is positioning its business for a world that includes a transition away from internal combustion engines to alternative powertrains. Hence, in the near term the company is incurring losses in the Accelera business. However, we expect these headwinds to be balanced by strong growth in power generation projects tied to data center demand over the next several years, while we expect the Engine and Components segments' margins to improve in the next couple of years as R&D spending tapers. Overall, we view the risk-reward as balanced at these levels.

Valuation

Our Dec 27 PT is $465, based on a SOTP valuation which assigns ~6x FY28 EV/EBITDA on CMI's DC-related EBITDA and ~9x FY28 EV/EBITDA on the rest of the business (which is the long-term average). The decrease in price target is driven by lower target multiples, given AI earnings multiples have contracted meaningfully since our last update, applied to our lower estimates following the company's guidance reduction.

CMI Valuation Matrix	2026E	2027E	2028E
Adj. EPS	$28.59	$31.71	$37.67
PE	15.7x	14.1x	11.9x
Adj. EBITDA ($MM)	6,714	7,235	8,291
EV/EBITDA	9.9x	9.2x	8.0x
Price Target		$465	
PE	16.3x	14.7x	12.3x
PEG	0.8x	1.3x	0.7x
EV/EBITDA	10.4x	9.7x	8.4x
Upside/(Downside) to Target Price		**4%**	

	2026E	2027E	2028E
Free Cash Flow ($MM)	2,855	995	6,788
Free Cash Flow / Share	$20.64	$7.26	$49.89
Current Free Cash Flow Yield	4.6%	1.6%	11.1%
Discount / Premium to Avg SPX FCF Yield (since 2008)	-0.3%	-3.3%	6.2%
FY1 FCF Yield at Target Price		**10.7%**	
CMI's Avg FCF Yield since 2008		5.6%	

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates

Risks to Rating and Price Target

Upside risks. The transition to alternative powertrains may be slower than expected due to policy changes under the new administration, which could favorably impact CMI's earnings and valuation multiple. Should the Chinese economy reaccelerate faster than anticipated, CMI's JV income would provide upside to our estimates. Lastly, demand for power generation products and services could be higher than we are currently modeling.

Downside risks. If EPA's NOx regulation coming into effect in 2027 is nixed, it could lead to no pre-buys in 2025/26, which could drive downward revisions. Any abrupt slowdown

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in data center growth could render our estimates too high as well.

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Cummins Inc: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**34,102**	**33,670**	**37,047**	**41,485**	**46,370**
COGS	(25,536)	(25,154)	(27,188)	(30,699)	(34,314)
Gross profit	**-**	**-**	**-**	**-**	**-**
SG&A	(2,161)	(2,028)	(2,389)	(2,995)	(3,449)
Adj. EBITDA	**5,369**	**5,843**	**6,714**	**7,235**	**8,291**
D&A	(1,053)	(1,097)	(1,114)	(1,154)	(1,188)
Adj. EBIT	**4,126**	**4,483**	**5,190**	**4,901**	**5,537**
Net Interest	(283)	(223)	(180)	(186)	(174)
Adj. PBT	**3,946**	**4,421**	**5,284**	**5,754**	**6,780**
Tax	(917)	(1,009)	(1,211)	(1,295)	(1,526)
Minority Interest	(122)	(114)	(119)	(113)	(130)
Adj. Net Income	**2,907**	**3,298**	**3,954**	**4,346**	**5,125**
Reported EPS	28.37	20.44	27.15	31.71	37.67
Adj. EPS	**20.90**	**23.71**	**28.59**	**31.71**	**37.67**
DPS	**7.00**	**7.64**	**8.82**	**9.47**	**9.94**
Payout ratio	24.7%	37.4%	32.5%	29.9%	26.4%
Shares outstanding	139	139	138	137	136

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,671	2,845	3,277	2,319	6,548
Accounts receivable	5,181	5,818	6,864	8,204	8,273
Inventories	5,742	5,822	7,205	7,560	7,292
Other current assets	2,158	2,440	2,413	2,157	3,001
Current assets	**14,752**	**16,925**	**19,760**	**20,240**	**25,115**
PP&E	6,356	6,958	7,504	7,350	7,362
LT investments	-	-	-	-	-
Other non current assets	10,432	10,109	10,164	11,428	11,172
Total assets	**31,540**	**33,992**	**37,428**	**39,019**	**43,648**
Short term borrowings	2,275	760	885	885	885
Payables	3,951	3,800	5,161	4,779	5,931
Other short term liabilities	5,008	5,050	5,548	5,014	5,797
Current liabilities	**11,234**	**9,610**	**11,594**	**10,679**	**12,613**
Long-term debt	4,784	6,792	6,634	6,576	6,026
Other long term liabilities	4,214	4,182	4,474	4,474	4,474
Total liabilities	**20,232**	**20,584**	**22,702**	**21,729**	**23,113**
Shareholders' equity	10,271	12,349	13,683	16,133	19,249
Minority interests	1,037	1,059	1,043	1,157	1,286
Total liabilities & equity	**31,540**	**33,992**	**37,428**	**39,019**	**43,648**
BVPS	**74.32**	**89.36**	**99.37**	**118.34**	**142.20**
y/y Growth	*19.0%*	*20.2%*	*11.2%*	*19.1%*	*20.2%*
Net debt/(cash)	4,795	3,943	3,628	4,528	(251)
Cash flow from operating activities	**1,487**	**3,621**	**4,255**	**1,995**	**7,988**
o/w Depreciation & amortization	1,065	1,105	1,120	1,154	1,188
o/w Changes in working capital	(2,165)	(861)	(677)	(2,274)	1,369
Cash flow from investing activities	**(1,782)**	**(1,731)**	**(1,322)**	**(1,000)**	**(1,200)**
o/w Capital expenditure	(1,208)	(1,235)	(1,400)	(1,000)	(1,200)
as % of sales	*3.5%*	*3.7%*	*3.8%*	*2.4%*	*2.6%*
Cash flow from financing activities	**(173)**	**(772)**	**(2,510)**	**(1,953)**	**(2,559)**
o/w Dividends paid	(969)	(1,055)	(1,172)	(1,295)	(1,349)
o/w Net debt issued/(repaid)	915	454	5	(58)	(550)
Net change in cash	**(508)**	**1,174**	**432**	**(958)**	**4,229**
Adj. Free cash flow to firm	**496**	**2,558**	**2,994**	**1,139**	**6,923**
y/y Growth	*(83.3%)*	*415.5%*	*17.0%*	*(61.9%)*	*507.6%*

Income Statement - Quarterly	1Q26A	2Q26A	3Q26A	4Q26E
Revenue	**8,398A**	**9,457A**	**9,438A**	**9,754**
COGS	(6,155)A	(6,992)A	(6,823)A	(7,218)
Gross profit	**-**	**-**	**-**	**-**
SG&A	(565)A	(613)A	(583)A	(628)
Adj. EBITDA	**1,489A**	**1,653A**	**1,786A**	**1,786**
D&A	(280)A	(280)A	(285)A	(269)
Adj. EBIT	**1,148A**	**1,279A**	**1,444A**	**1,319**
Net Interest	(44)A	(47)A	(51)A	(38)
Adj. PBT	**1,133A**	**1,293A**	**1,420A**	**1,438**
Tax	(254)A	(325)A	(251)A	(381)
Minority Interest	(26)A	(36)A	(29)A	(28)
Adj. Net Income	**853A**	**932A**	**1,140A**	**1,029**
Reported EPS	4.71A	6.73A	8.25A	7.46
Adj. EPS	**6.15A**	**6.73A**	**8.25A**	**7.46**
DPS	**2.00A**	**2.20A**	**2.31A**	**2.31**
Payout ratio	42.4%A	32.7%A	28.0%A	30.9%
Shares outstanding	139A	139A	138A	138

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	-	-	-	-	-
EBITDA margin	15.7%	17.4%	18.1%	17.4%	17.9%
EBIT margin	12.1%	13.3%	14.0%	11.8%	11.9%
Net profit margin	8.5%	9.8%	10.7%	10.5%	11.1%
ROE	30.4%	29.2%	30.4%	29.2%	29.0%
ROA	9.1%	10.1%	11.1%	11.4%	12.4%
ROCE	19.3%	18.6%	19.5%	17.0%	17.2%
SG&A/Sales	6.3%	6.0%	6.4%	7.2%	7.4%
Net debt/equity	0.4	0.3	0.2	0.3	NM
P/E (x)	22.6	19.9	16.5	14.9	12.5
P/BV (x)	6.3	5.3	4.7	4.0	3.3
EV/EBITDA (x)	12.9	11.7	10.1	9.5	7.7
Dividend Yield	1.5%	1.6%	1.9%	2.0%	2.1%
Sales/Assets (x)	1.1	1.0	1.0	1.1	1.1
Interest cover (x)	19.0	26.2	37.2	38.8	47.8
Operating leverage	43.71	(6.83)	1.57	(0.47)	1.10
Revenue y/y Growth	0.1%	(1.3%)	10.0%	12.0%	11.8%
EBITDA y/y Growth	3.3%	8.8%	14.9%	7.8%	14.6%
Tax rate	23.2%	22.8%	22.9%	22.5%	22.5%
Adj. Net Income y/y Growth	3.5%	13.5%	19.9%	9.9%	17.9%
EPS y/y Growth	6.1%	13.5%	20.6%	10.9%	18.8%
DPS y/y Growth	7.7%	9.1%	15.4%	7.4%	5.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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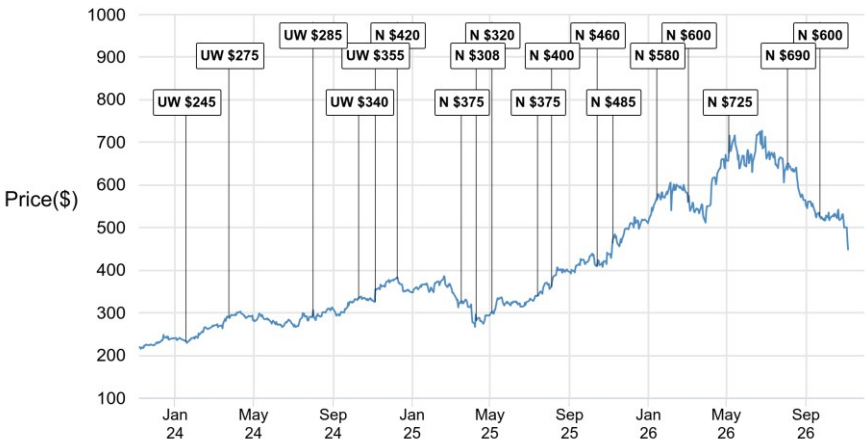
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Cummins Inc (CMI, CMI US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 06, 1994. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
18-Jan-24	UW	233.08	245
25-Mar-24	UW	290.34	275
01-Aug-24	UW	291.80	285
11-Oct-24	UW	332.85	340
05-Nov-24	UW	325.62	355
09-Dec-24	N	379.60	420
18-Mar-25	N	326.15	375
11-Apr-25	N	281.75	308
05-May-25	N	299.85	320
14-Jul-25	N	338.82	375
05-Aug-25	N	361.59	400
14-Oct-25	N	409.00	460
07-Nov-25	N	462.80	485
14-Jan-26	N	567.44	580
04-Mar-26	N	560.09	600
06-May-26	N	674.88	725
04-Aug-26	N	648.85	690
23-Sep-26	N	526.13	600

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